IT SERVICES AGREEMENT

This IT Services Agreement (the "**Agreement**") is made on 2 September 2026 (the "**Effective Date**").

PARTIES

(1) **TERATAS DIGITAL SOLUTIONS SDN. BHD.** (Company No. SAMPLE-MY-1501), a company incorporated in Malaysia with its registered office at Level 12, Menara Contoh Dua, Jalan Contoh Sentral, 50470 Kuala Lumpur, Malaysia (the "**Supplier**"); and

(2) **LINTAS BUMI LOGISTIK SDN. BHD.** (Company No. SAMPLE-MY-1502), a company incorporated in Malaysia with its registered office at No. 28, Jalan Contoh 3/7, Kawasan Perindustrian Contoh, 42000 Port Klang, Selangor, Malaysia (the "**Customer**").

BACKGROUND

(A) The Supplier provides software development, systems integration and managed IT services to small and medium businesses in Malaysia.

(B) The Customer is a freight forwarding and warehousing company with two (2) warehouses and forty-five (45) staff. It wishes to replace its warehouse and shipment tracking system and to have the Supplier operate and support the replacement system.

(C) The parties have agreed that the Supplier will deliver and support that system on the terms of this Agreement and its Schedules.

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement the following words have these meanings:

"**Acceptance**" means the Customer's acceptance of a Deliverable under Clause 4.

"**Business Day**" means a day other than a Saturday, a Sunday or a public holiday in Kuala Lumpur.

"**Change Request**" means a request to change the Services made under Schedule 5.

"**Confidential Information**" means all information of a confidential nature disclosed by one party to the other in connection with this Agreement, including business plans, customer lists, shipment data, pricing, source code and technical documentation.

"**Customer Data**" means all data entered into, stored in or generated by the System by or for the Customer, including shipment records, customer and supplier records and personal data.

"**Deliverables**" means the items to be delivered by the Supplier as described in Schedule 1, including the System configuration, interfaces, reports, training materials and documentation.

"**Fees**" means the fees for the Services set out in Schedule 2.

"**Go-Live**" means the date on which the System is first used by the Customer for live operations following Acceptance of the final milestone.

"**Intellectual Property Rights**" means copyright, patents, trade marks, design rights, rights in databases, rights in confidential information and all similar rights anywhere in the world.

"**Services**" means the implementation services, support services and managed services described in Schedule 1.

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"**Service Levels**" means the service levels set out in Schedule 3.

"**Supplier Tools**" means the Supplier's pre-existing software, libraries, tools, templates and know-how, and any improvements to them that are not specific to the Customer.

"**System**" means the warehouse and shipment tracking system to be implemented for the Customer, as described in Schedule 1.

1.2 The Schedules form part of this Agreement. If there is a conflict between the clauses and a Schedule, the clauses prevail, except that Schedule 4 prevails over the clauses on the subject of personal data.

1.3 References to days are to calendar days unless Business Days are stated. Headings are for convenience only and do not affect interpretation.

2. TERM

2.1 This Agreement starts on the Effective Date and continues for an initial term of thirty-six (36) months from Go-Live, unless ended earlier under Clause 14.

2.2 Before the end of the initial term, the parties shall meet to discuss whether to extend. Any extension must be agreed in writing and signed by both parties. This Agreement does not renew automatically.

3. THE SERVICES

3.1 The Supplier shall provide the Services and the Deliverables in accordance with this Agreement, using reasonable skill and care, suitably qualified personnel and good industry practice.

3.2 The Supplier shall meet the milestone dates in Schedule 1. If the Supplier expects to miss a milestone date, it shall tell the Customer promptly, explain the reason and give a recovery plan.

3.3 The Customer shall give the Supplier the information, access to its premises and systems, and timely decisions that the Supplier reasonably needs to provide the Services. If the Customer is late in doing so, the Supplier is entitled to a corresponding extension of the milestone dates, provided it has told the Customer of the delay in writing within five (5) Business Days.

3.4 Each party shall appoint a project manager as its first point of contact. The project managers shall meet every two (2) weeks during implementation and monthly afterwards.

3.5 The Supplier shall comply with the Customer's reasonable site and security rules when it is on the Customer's premises.

4. DELIVERY AND ACCEPTANCE

4.1 The Supplier shall deliver each Deliverable by the milestone date in Schedule 1 and notify the Customer when it is ready for acceptance testing.

4.2 The Customer shall carry out acceptance tests against the acceptance criteria in Schedule 1 within ten (10) Business Days after delivery (the "**Acceptance Period**") and shall either accept the Deliverable or give the Supplier written notice of each respect in which it does not meet the criteria.

4.3 The Supplier shall correct the notified failures and re-deliver within ten (10) Business Days, and the Customer shall repeat the tests within five (5) Business Days.

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4.4 If a Deliverable still fails the acceptance criteria after the second re-delivery, the Customer may either give the Supplier a further period to correct it, accept it with an agreed reduction in the Fees, or terminate the affected part of the Services and receive a refund of the Fees paid for it.

4.5 If the Customer does not give notice of failure within the Acceptance Period, the Supplier shall remind the Customer in writing, and the Deliverable is treated as accepted five (5) Business Days after that reminder if the Customer still gives no notice.

5. FEES AND PAYMENT

5.1 The Customer shall pay the Fees in accordance with Schedule 2. Implementation fees are payable in instalments on Acceptance of each milestone. Support and managed service fees are invoiced quarterly in advance.

5.2 The Supplier shall send correct invoices addressed to the Customer's finance department. The Customer shall pay each undisputed invoice within thirty (30) days of receipt.

5.3 Fees are exclusive of sales and service tax and any other taxes, which the Customer shall pay in addition at the rate that applies on the date of the invoice.

5.4 If the Customer disputes any part of an invoice in good faith, it shall notify the Supplier in writing with reasons before the due date, pay the undisputed part on time and the parties shall try to resolve the dispute within thirty (30) days. The Supplier shall not suspend the Services because of an amount that is the subject of a good faith dispute.

5.5 Interest at the rate of one per cent (1%) a month applies to undisputed amounts that are not paid by the due date, from the due date until payment.

5.6 The Fees are fixed for the first twelve (12) months after Go-Live. After that, the Supplier may increase the support and managed service fees once in any twelve (12) month period by giving at least sixty (60) days' written notice, by no more than the annual change in the Consumer Price Index for Malaysia published by the Department of Statistics Malaysia plus three per cent (3%). If the Customer does not accept an increase, it may terminate the support and managed services by giving at least thirty (30) days' notice before the increase takes effect.

5.7 Work outside the scope of Schedule 1 is chargeable only if the Customer has agreed it in advance through the change control procedure in Schedule 5.

6. INTELLECTUAL PROPERTY

6.1 The Customer owns all Intellectual Property Rights in the Customer Data and in the materials it provides to the Supplier (the "**Customer Materials**"). The Customer grants the Supplier a non-exclusive licence to use the Customer Materials only to provide the Services.

6.2 The Supplier retains all Intellectual Property Rights in the Supplier Tools.

6.3 Upon payment of the Fees for them, all Intellectual Property Rights in the Deliverables, other than in the Supplier Tools, vest in the Customer. The Supplier assigns those rights to the Customer on creation, subject to payment, and shall sign any document reasonably needed to confirm this.

6.4 The Supplier grants the Customer a perpetual, irrevocable, worldwide, non-exclusive, royalty-free licence to use, copy and modify the Supplier Tools to the extent they are

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incorporated in the Deliverables, for the Customer's own business purposes.

6.5 The Supplier shall deliver the source code of the Deliverables developed specifically for the Customer to the Customer on Go-Live and with each later release, or shall place it in escrow with an escrow agent approved by the Customer at the Supplier's cost.

6.6 The Supplier shall not use open source software in the Deliverables in a way that would require the Customer to publish its own source code or Customer Data.

7. WARRANTIES

7.1 Each party warrants that it has the power and authority to enter into and perform this Agreement.

7.2 The Supplier warrants that the Services will be performed with reasonable skill and care and in accordance with Schedule 1, and that each Deliverable will conform to the acceptance criteria and to its documentation for a period of ninety (90) days after Acceptance (the "**Warranty Period**").

7.3 If a Deliverable does not meet the warranty in Clause 7.2 during the Warranty Period, the Supplier shall correct it at no charge within a reasonable time that reflects the seriousness of the defect and the response times in Schedule 3.

7.4 The Supplier warrants that, to the best of its knowledge, the Deliverables and the Services do not infringe the Intellectual Property Rights of any third party and that it will use up-to-date measures to keep the System free from viruses and malicious code.

7.5 The Customer warrants that it has the right to provide the Customer Materials and the Customer Data to the Supplier for the purposes of this Agreement.

7.6 Except as set out in this Agreement, neither party gives any other warranty, and implied warranties are excluded to the extent the law allows.

8. SERVICE LEVELS

8.1 The Supplier shall provide the support and managed services in accordance with the Service Levels in Schedule 3.

8.2 If the Supplier fails to meet a Service Level in any month, it shall credit the Customer with the service credit stated in Schedule 3 and shall provide a written report on the cause and the steps it is taking to prevent a repeat.

8.3 Service credits are a price adjustment that reflects the reduced value of the Services. They do not limit the Customer's other rights and remedies, including the right to terminate under Clause 14.3 for repeated failure.

9. DATA PROTECTION AND SECURITY

9.1 The parties shall comply with the Personal Data Protection Act 2010 of Malaysia ("**PDPA**") and the terms of Schedule 4. Where the Supplier processes personal data for the Customer, it does so as a data processor on the Customer's documented instructions.

9.2 The Supplier shall keep the Customer Data secure in accordance with Schedule 6 and shall host and store the Customer Data only in data centres located in Malaysia, unless the Customer has agreed otherwise in writing in advance.

9.3 The Supplier shall tell the Customer without undue delay and in any event within seventy-two (72) hours of becoming aware of any breach of security that affects the Customer Data, and shall help the Customer to investigate and respond to it.

9.4 The Customer remains the owner of the Customer Data. The Supplier shall not use the Customer Data other than to provide the Services.

10. CONFIDENTIALITY

10.1 Each party shall keep the other's Confidential Information confidential, use it only to perform or receive the benefit of this Agreement and disclose it only to its employees, subcontractors and professional advisers who need to know it and are bound by duties of confidentiality at least as strict as this Clause.

10.2 This Clause does not apply to information that is or becomes public other than through a breach of this Agreement, that the recipient already knew, that the recipient receives lawfully from a third party, that the recipient develops independently, or that the law or a court or regulator requires it to disclose, provided that it gives the other party prompt notice where the law allows.

10.3 The obligations in this Clause continue for three (3) years after this Agreement ends, and for as long as any trade secret remains a trade secret.

11. LIABILITY

11.1 Nothing in this Agreement limits or excludes either party's liability for fraud, for death or personal injury caused by its negligence, or for any liability that cannot be limited or excluded by law.

11.2 Subject to Clause 11.1, neither party is liable to the other for any loss of profits, loss of revenue, loss of goodwill or any indirect or consequential loss, whether in contract, tort (including negligence) or otherwise.

11.3 Subject to Clauses 11.1 and 11.4, each party's total liability to the other in any twelve (12) month period arising out of or in connection with this Agreement, whether in contract, tort (including negligence) or otherwise, is limited to the total Fees paid and payable in that period.

11.4 Each party's total liability for breach of Clause 9 (Data Protection and Security) or Clause 10 (Confidentiality) is limited to twice the amount stated in Clause 11.3.

11.5 The Customer's obligation to pay the Fees does not count towards the limit in Clause 11.3.

12. INDEMNITIES

12.1 The Supplier shall defend and indemnify the Customer against any claim by a third party that the Deliverables or the Services infringe that third party's Intellectual Property Rights, and shall pay the damages finally awarded or settlements agreed by the Supplier, provided that the Customer promptly notifies the Supplier of the claim, allows the Supplier to control its defence and settlement, and gives reasonable help.

12.2 If a claim under Clause 12.1 is made or is likely to be made, the Supplier may at its own cost procure the right for the Customer to keep using the Deliverables, or modify or replace them so they do not infringe while keeping substantially the same functions.

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12.3 The Customer shall defend and indemnify the Supplier against any claim by a third party that the Customer Materials or the Customer Data infringe that third party's rights or that the Customer has used the System in breach of this Agreement, on the same conditions as apply to Clause 12.1.

12.4 Clause 12.1 does not apply to the extent that the claim arises from the Customer's modification of a Deliverable without the Supplier's consent or from the Supplier's compliance with the Customer's written specifications.

13. INSURANCE

13.1 The Supplier shall keep professional indemnity insurance of at least RM 2,000,000 and public liability insurance of at least RM 1,000,000 throughout this Agreement and for one (1) year afterwards, and shall give the Customer a copy of the certificates on request.

14. TERMINATION

14.1 The Customer may terminate this Agreement or any part of the Services for convenience by giving the Supplier at least ninety (90) days' written notice. If it does so, the Customer shall pay the Fees for the Services performed up to the date of termination and the reasonable, documented costs which the Supplier has already committed to third parties and cannot recover. No further early termination charge applies.

14.2 The Supplier may terminate this Agreement for convenience by giving the Customer at least one hundred and eighty (180) days' written notice, and shall continue to provide the Services and the exit assistance in Schedule 7 during that period.

14.3 Either party may terminate this Agreement immediately by written notice if the other party:

(a) commits a material breach that cannot be remedied or that is not remedied within thirty (30) days of written notice requiring it to be remedied; or

(b) becomes insolvent, enters into liquidation or administration, or ceases business.

The Customer may also terminate if the Supplier fails to meet the same Service Level in three (3) consecutive months or in any four (4) months within a rolling twelve (12) month period.

14.4 If the Customer fails to pay an undisputed amount within thirty (30) days after a written reminder, the Supplier may suspend the affected Services after giving a further ten (10) Business Days' notice.

14.5 On termination or expiry for any reason, the Supplier shall provide the exit assistance in Schedule 7, and the Customer shall pay all undisputed Fees due for Services performed up to the date of termination.

14.6 Clauses 1, 6, 9, 10, 11, 12, 15, 16 and any other provisions that by their nature continue shall survive termination or expiry.

15. GOVERNING LAW AND DISPUTE RESOLUTION

15.1 This Agreement and any dispute arising out of or in connection with it are governed by the laws of Malaysia.

15.2 The parties shall first try to resolve any dispute by referring it to their project managers, and if they cannot resolve it within ten (10) Business Days, to a director of each party, who shall

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meet within a further ten (10) Business Days.

15.3 If the dispute is not resolved within thirty (30) days of the first referral, either party may refer it to mediation at the Asian International Arbitration Centre (AIAC) in Kuala Lumpur. If mediation does not resolve the dispute within sixty (60) days, either party may bring proceedings in the courts of Kuala Lumpur, which shall have non-exclusive jurisdiction.

15.4 Nothing in this Clause prevents a party from seeking urgent injunctive relief from a court.

16. GENERAL

16.1 Neither party may assign or transfer any of its rights or obligations under this Agreement without the prior written consent of the other, which shall not be unreasonably withheld.

16.2 The Supplier may use subcontractors for the Services only with the Customer's prior written consent, and remains responsible for their acts and omissions as if they were its own.

16.3 Neither party is liable for a delay or failure caused by events beyond its reasonable control, including natural disaster, war, riot, epidemic or a failure of public utilities, provided that it tells the other party promptly and takes reasonable steps to limit the effect. If such an event continues for more than sixty (60) days, either party may terminate the affected Services.

16.4 This Agreement, with its Schedules, is the entire agreement between the parties on its subject matter and replaces all earlier proposals, quotations and discussions. Each party confirms that it has not relied on any statement that is not set out in this Agreement.

16.5 Any variation of this Agreement must be in writing and signed by both parties, except that Change Requests may be agreed under Schedule 5.

16.6 If any provision of this Agreement is held to be unenforceable, it shall be enforced to the maximum extent permitted and the remaining provisions shall continue in force.

16.7 A failure or delay in exercising a right is not a waiver of it. Nothing in this Agreement makes either party the agent, partner or employee of the other.

16.8 Notices shall be in writing and sent by courier or by email to the addresses stated at the head of this Agreement, or to another address a party gives by notice. A notice by courier is received on delivery and a notice by email is received on the next Business Day after it is sent, if no delivery failure message is received.

16.9 This Agreement may be signed in counterparts and by electronic signature, each of which is an original.

SIGNATURES

Signed for and on behalf of **TERATAS DIGITAL SOLUTIONS SDN. BHD.**

Signature: _____

Name: _____ Designation: Director

Date: _____

Signed for and on behalf of **LINTAS BUMI LOGISTIK SDN. BHD.**

Signature: _____

Name: _____ Designation: Director

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Date: _____

SCHEDULE 1: SERVICES AND DELIVERABLES

Part A. Overview of the System

1.1 The System is a web-based warehouse and shipment tracking platform that will replace the Customer's current spreadsheets and its existing legacy application. It shall be configured to the Customer's business processes for two (2) warehouses at Port Klang and Shah Alam.

1.2 The System shall include the following modules: (a) inbound receiving and put-away; (b) stock location management and cycle counts; (c) outbound picking, packing and dispatch; (d) shipment tracking with customer notifications by email and SMS; (e) customs document storage and export to the Customer's customs agent; (f) management reports and a dashboard; and (g) interfaces to the Customer's accounting software and to two (2) courier tracking services.

Part B. Implementation milestones

2.1 Milestone 1 (Design): the Supplier delivers the functional specification and the data migration plan for approval by the Customer, by 16 October 2026. The instalment due on Acceptance is twenty per cent (20%) of the implementation fee.

2.2 Milestone 2 (Build): the Supplier delivers the configured System in a test environment with the interfaces to the accounting software and the courier services, by 18 December 2026. The instalment due on Acceptance is thirty per cent (30%) of the implementation fee.

2.3 Milestone 3 (Migration and training): the Supplier migrates the Customer's stock and shipment data and trains the Customer's staff for a total of five (5) days, by 29 January 2027. The instalment due on Acceptance is twenty-five per cent (25%) of the implementation fee.

2.4 Milestone 4 (Go-Live): the Supplier takes the System live in both warehouses and provides on-site support during the first ten (10) Business Days. The instalment due on Acceptance is the final twenty-five per cent (25%) of the implementation fee.

Part C. Acceptance criteria

3.1 Each module must perform the functions described in the functional specification approved at Milestone 1, without any defect of severity 1 or severity 2 as defined in Schedule 3.

3.2 The System must process at least 500 shipments a day and support thirty (30) concurrent users with page response times under three (3) seconds for ninety-five per cent (95%) of requests during the performance test.

3.3 At least ninety-nine per cent (99%) of migrated stock records must match the Customer's stock count in the sample check carried out by the project managers.

Part D. Support and managed services

4.1 After Go-Live the Supplier shall provide: (a) hosting and monitoring of the System; (b) a help desk for the Customer's staff on Business Days from 8.00 a.m. to 6.00 p.m., with emergency support outside these hours for severity 1 incidents; (c) bug fixes and security updates; (d) a minor enhancement allowance of twenty (20) hours a quarter; and (e) a quarterly service review meeting.

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4.2 Hosting shall be in data centres in Malaysia with daily backups retained for thirty (30) days and a disaster recovery copy in a second Malaysian data centre.

SCHEDULE 2: FEES

Part A. Implementation fee

1.1 The fixed implementation fee is RM 168,000, payable in the instalments stated in Schedule 1, Part B.

Part B. Support and managed service fees

2.1 The fixed support and managed service fee is RM 7,500 a month, invoiced quarterly in advance, starting from Go-Live.

2.2 The fee in paragraph 2.1 covers the services in Schedule 1, Part D. It is reviewed under Clause 5.6.

Part C. Additional work

3.1 Work approved through a Change Request, and enhancement work beyond the allowance in Schedule 1, is charged at the following daily rates (excluding tax): solution architect RM 2,400; senior developer RM 1,900; developer RM 1,400; tester RM 1,100; project manager RM 1,900.

3.2 The Supplier shall provide a written estimate for each Change Request, and shall not exceed it by more than ten per cent (10%) without the Customer's prior written approval.

Part D. Expenses

4.1 The Customer shall reimburse the Supplier's reasonable travel costs for visits to the Customer's warehouses outside the Klang Valley, if approved in advance by the Customer and supported by receipts. No other expenses are chargeable.

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SCHEDULE 3: SERVICE LEVELS

Part A. Incident severity

1.1 Severity 1: the System is unavailable or a critical function cannot be used, and there is no workaround. Severity 2: a major function is seriously impaired, or a workaround is available but is not practical for daily use. Severity 3: a minor function does not work and a workable workaround is available. Severity 4: a cosmetic issue, a question or a request for information.

Part B. Response and resolution times

2.1 The Supplier shall respond to and resolve incidents within the times in paragraph 2.2, measured within support hours (and around the clock for severity 1).

2.2 Severity 1: response in thirty (30) minutes; resolution or workaround in four (4) hours. Severity 2: response in two (2) hours; resolution or workaround in one (1) Business Day. Severity 3: response in four (4) hours; resolution in five (5) Business Days. Severity 4: response in one (1) Business Day; resolution in the next scheduled release.

Part C. Availability

3.1 The Supplier shall make the System available for at least 99.9% of the time in each calendar month, measured from 6.00 a.m. to 10.00 p.m. every day, excluding planned maintenance notified at least five (5) Business Days in advance and carried out outside those hours.

3.2 The Supplier shall measure availability with automated monitoring and provide the Customer with a monthly report within five (5) Business Days after each month end.

Part D. Service credits

4.1 If availability in a month is below 99.9% but at least 99.0%, the service credit is five per cent (5%) of the support and managed service fee for that month. If availability is below 99.0% but at least 98.0%, the credit is ten per cent (10%). If availability is below 98.0%, the credit is twenty per cent (20%).

4.2 If the Supplier misses the resolution time for a severity 1 incident, the service credit is a further five per cent (5%) of that month's fee for each additional four (4) hours, up to a total of twenty-five per cent (25%) for the month.

4.3 The Supplier shall apply service credits to the next invoice without the Customer having to claim them.

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SCHEDULE 4: PERSONAL DATA PROCESSING TERMS

Part A. Roles and instructions

1.1 For personal data in the Customer Data, the Customer is the data user and the Supplier is the data processor under the PDPA.

1.2 The Supplier shall process personal data only on the documented instructions of the Customer, which are set out in this Agreement, and for no other purpose. If the Supplier believes that an instruction breaches the PDPA, it shall tell the Customer at once.

1.3 The categories of personal data are the names, addresses, telephone numbers and email addresses of the Customer's customers, consignees and staff. The processing is the hosting, storage, backup and support of the System for the duration of this Agreement.

Part B. Security and staff

2.1 The Supplier shall implement the security measures set out in Schedule 6 and shall allow only those staff who need access to the personal data to have it, who are bound by duties of confidentiality, and who have received training in data protection.

2.2 The Supplier shall keep a record of all staff and subcontractors who have access to the personal data and give the record to the Customer on request.

Part C. Location and transfers

3.1 The Supplier shall store and process personal data only in Malaysia. It shall not transfer or give remote access to personal data from outside Malaysia without the Customer's prior written consent, and shall then comply with section 129 of the PDPA and any conditions the Customer sets.

Part D. Breach notification and assistance

4.1 The Supplier shall tell the Customer in writing within seventy-two (72) hours of becoming aware of a personal data breach, giving the nature of the breach, the data affected, the likely consequences and the measures taken or proposed.

4.2 The Supplier shall give the Customer reasonable help with access and correction requests from individuals and with any enquiry from the Personal Data Protection Commissioner, at no extra charge for the first ten (10) hours in each year.

Part E. Audit and deletion

5.1 Once a year, and after any personal data breach, the Customer may audit the Supplier's compliance with this Schedule on ten (10) Business Days' notice, during business hours, and without disrupting the Supplier's other customers.

5.2 When this Agreement ends, the Supplier shall return the personal data to the Customer in a standard format within thirty (30) days and then permanently delete it from its systems and backups within a further sixty (60) days, and shall confirm the deletion in writing.

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SCHEDULE 5: CHANGE CONTROL

Part A. Requesting a change

1.1 Either party may ask for a change to the Services, the Deliverables, the milestone dates or the Fees by sending the other party's project manager a written Change Request that describes the change and the reason for it.

1.2 Within five (5) Business Days after receiving a Change Request from the Customer, the Supplier shall give the Customer a written assessment that sets out the effect of the change on the scope, the milestone dates, the Fees, the Service Levels and the risks, with a fixed or capped price based on the rates in Schedule 2.

Part B. Agreeing a change

2.1 A change takes effect only when the Change Request has been signed by an authorised representative of each party. Until then, the Supplier shall continue to perform the Services as agreed.

2.2 The Customer is not obliged to accept a change proposed by the Supplier. The Supplier shall not unreasonably refuse a change that the Customer proposes and that is technically feasible, but may refuse a change that would breach the law or reduce the security of the System.

2.3 If a change is required by a change in law that applies to the Customer, the Supplier shall make it, and the parties shall agree a fair price based on the rates in Schedule 2.

Part C. Urgent changes

3.1 In an emergency, the Supplier may make the minimum change necessary to restore the System or to protect the Customer Data, and shall tell the Customer of the change as soon as practicable and document it afterwards.

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SCHEDULE 6: INFORMATION SECURITY REQUIREMENTS

Part A. Access and authentication

1.1 The Supplier shall protect access to the System and to the Customer Data with unique user accounts, strong passwords and multi-factor authentication for administrators and for remote access.

1.2 The Supplier shall review user access rights at least every quarter and remove access promptly when staff leave or change roles.

Part B. Encryption and network security

2.1 The Supplier shall encrypt the Customer Data in transit using current versions of TLS and at rest using strong encryption, and shall keep encryption keys separately from the data they protect.

2.2 The Supplier shall protect the hosting environment with firewalls and intrusion detection, shall segregate the Customer's environment from those of its other customers, and shall apply security patches classed as critical within seven (7) days and others within thirty (30) days.

Part C. Testing and monitoring

3.1 The Supplier shall arrange for an independent penetration test of the System before Go-Live and once a year afterwards, shall fix any critical or high findings within thirty (30) days, and shall give the Customer a summary of the results.

3.2 The Supplier shall keep logs of access to the System and to the Customer Data for at least twelve (12) months, and shall monitor them for unusual activity.

Part D. Backup and recovery

4.1 The Supplier shall back up the Customer Data daily, test the restoration of backups at least once every six (6) months, and report the results to the Customer.

4.2 The recovery time objective for the System after a disaster is eight (8) hours and the recovery point objective is twenty-four (24) hours.

Part E. Incident management

5.1 The Supplier shall maintain a written incident response plan, test it at least once a year, and give the Customer a copy of the plan on request.

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SCHEDULE 7: EXIT ASSISTANCE

Part A. Exit plan

1.1 Within ninety (90) days after Go-Live, the Supplier shall give the Customer a written exit plan that describes how the Services will be handed over to the Customer or a replacement supplier, and shall update it every year.

Part B. Exit services

2.1 For up to six (6) months after notice of termination or expiry (the "**Exit Period**"), the Supplier shall at the Customer's request: (a) continue to provide the Services on the same terms; (b) give the Customer a complete copy of the Customer Data in a standard, commonly used and documented format, such as CSV or SQL, together with the database schema; (c) deliver the latest version of the source code of the Deliverables, with build instructions and documentation; (d) answer reasonable questions from the Customer and a replacement supplier; and (e) help to migrate the Customer Data to a replacement system.

2.2 The Supplier shall give the Customer a first copy of the Customer Data within thirty (30) days after it asks for it, at no charge. Exit assistance beyond the first copy of the Customer Data and the source code is charged at the rates in Schedule 2, except that it is free of charge if the Customer terminates for the Supplier's breach or insolvency.

Part C. After the Exit Period

3.1 At the end of the Exit Period, and after the Customer has confirmed in writing that it has received the Customer Data in a usable form, the Supplier shall delete the Customer Data in accordance with Schedule 4, Part E.

3.2 The Customer's licence of the Supplier Tools under Clause 6.4 continues after the Exit Period.

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